



TeleConnect Inc. — Customer Churn Analysis

Understanding Why Customers Leave — And How to Stop Them

DATA ANALYTICS DIVISION · MAY 2026 · CONFIDENTIAL



Executive Summary

26.5%

Churn Rate

Industry benchmark: 15–25%

1,869

Customers Lost

Out of 7,043 total

42.7%

Highest Risk

Month-to-Month churn rate

2.8%

Safest Group

Two-Year contract churn rate

At ~£2,000 average LTV per customer, 26.5% churn represents significant annual revenue leakage. Five root causes have been identified and translated into prioritised business actions.

Key Business Problem

"With 26.5% of our customers churning annually — nearly 1 in 4 — we are spending significant budget acquiring new customers only to lose them within months. We need to understand exactly who is leaving, why, and what we can do before it gets worse."
— VP of Customer Success, TeleConnect Inc.

Toxic Contract Structure

Month-to-Month customers pay the highest prices with zero commitment — high cost plus zero friction to leave.

Fiber Optic Value Gap

Fiber plans cost £40/month more than DSL but are sold without protective add-ons — customers feel overcharged for a bare connection.

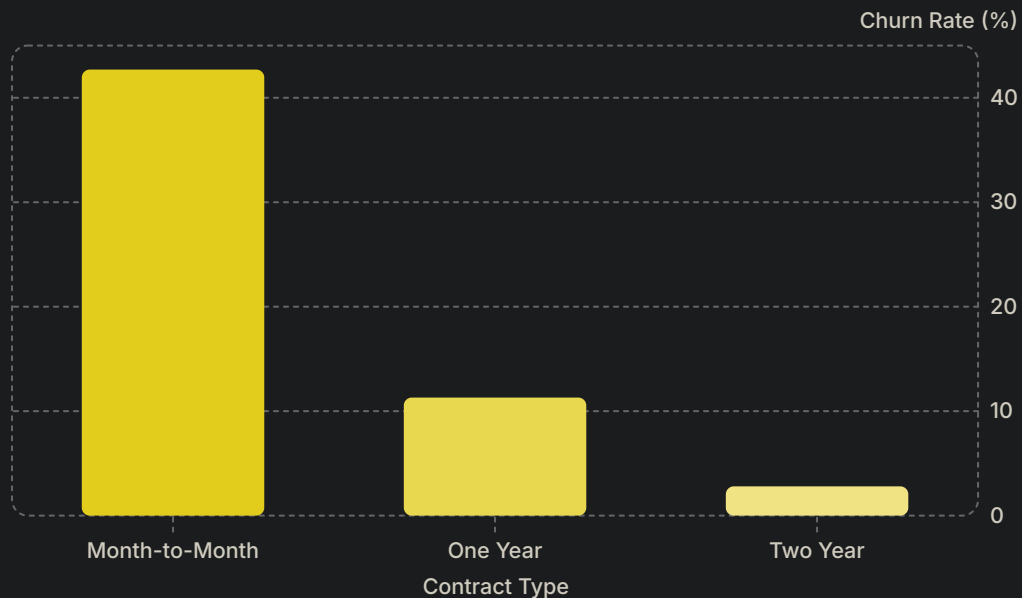
No Onboarding Safety Net

New customers receive no retention intervention during the first 6 months — the highest-risk period — and churn silently.

Critical Findings at a Glance

#	Finding	Priority
1	Month-to-Month customers churn at 42.7% — 15× more than Two-Year customers	 Critical
2	First 6 months tenure has >50% churn rate — no onboarding safety net exists	 Critical
3	Fiber Optic: pays £40/mo more than DSL but has fewer add-ons — value gap drives 42% churn vs 19% DSL	 Critical
4	Customers with 0 add-ons churn at 2× the rate of those with 1+ add-on	 High
5	Electronic Check churn (45%) is a proxy for M2M contracts — not a payment cause	 Medium

Churn by Contract Type & Tenure



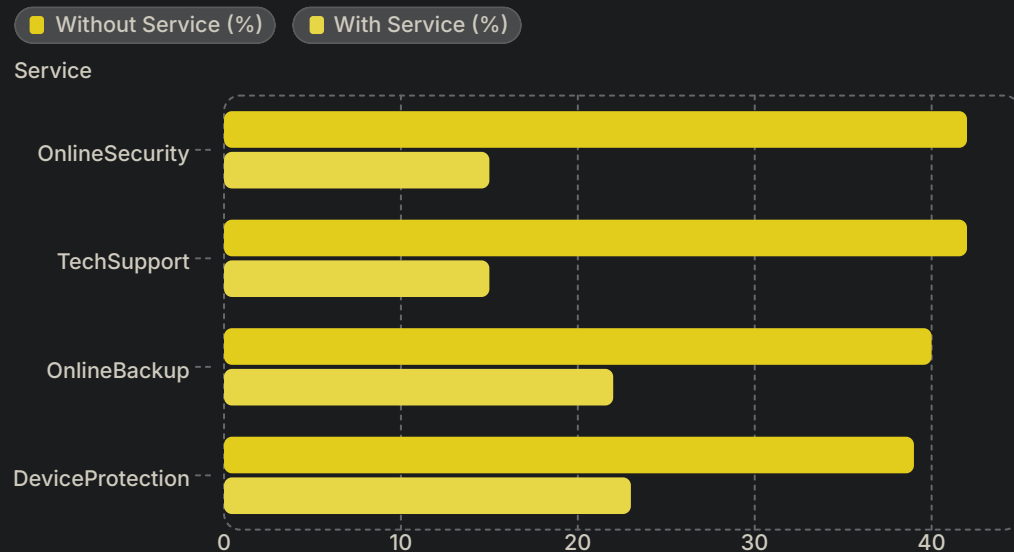
Contract Type Is the Single Strongest Predictor

A Month-to-Month customer is **15× more likely to churn** than a Two-Year customer. Contract commitment overrides all other risk factors — even in the first 3 months.

Tenure Risk Window

The **0–3 month cohort** churns at **>50%** — more than 1 in 2 new customers leave before establishing loyalty. Risk drops sharply after month 12.

Churn by Services & Add-ons



Fiber Optic vs DSL

Fiber churns at **42%** vs DSL's **19%** — 2.2× higher. Fiber customers pay £40/month more yet subscribe to *fewer* add-ons, creating a value perception gap.

The Add-on Effect

Zero add-ons: **>50% churn**. With 6 add-ons: **<10%**. Each add-on increases switching cost — a customer with 5 add-ons must re-configure all five on a new provider.

Highest-Risk Customer Profile

Contract

Month-to-Month

Internet

Fiber Optic

Add-ons

Zero

Tenure

Under 6 months

Monthly Spend

£75-£95

 **Estimated churn probability: 70–80%.** This customer is paying a premium for Fiber with no protective services, on a contract they can cancel anytime. Without proactive intervention, they will almost certainly leave within 3 months.

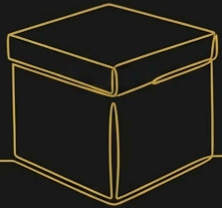
Diagnostic Analysis — Root Causes



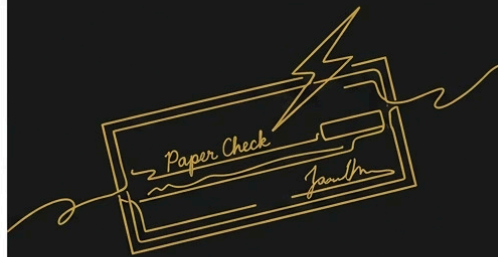
1) Month-to-Month
Contracts
Higher Price + No Lock-In
Confirmed by T-Test.



2) Fiber Optic
Value Gap
£40 Premium over DSL.
Fewer Add-Ons.
Packaging Failure.



3) Zero Add-on
Customers
No Investment or Risk.
Leaving costs nothing.
2x Churn Rate.



4) Electronic Check
Strong proxy for M2M
contracts. No
independent signal.

What the Data Confirms

- **Price + no commitment** drives M2M churn — discounting alone won't fix it.
- **Fiber Optic** is a packaging failure, not a price problem — bundle add-ons at signup.
- **Zero add-ons** = zero switching cost. First add-on adoption is both revenue and retention.
- **Electronic Check** budget nudges are wasted — convert the contract, not the payment method.

Business Recommendations

01

Convert M2M to Annual Contracts

Offer 1 month free at 3-month mark. Expected: **-3 to -5pp** overall churn.

03

Bundle OnlineSecurity with Fiber

3 months free at signup. Closes value gap without discounting. Expected: **-5 to -8pp** Fiber churn.

05

Senior Retention Plan

Senior bundle: Fiber + TechSupport + dedicated support. Expected: **-8 to -12pp** senior churn.

02

6-Month Onboarding Programme

Welcome call, usage review, add-on trial, contract upgrade push. Expected: **-2 to -4pp**.

04

First Add-on as Sales KPI

Mandatory add-on at signup. Expected: **-3 to -5pp** internet churn.

06

Redirect E-Check Budget

Stop payment nudges — target E-Check + M2M customers with contract upgrade offers.

Expected Impact Summary

~18%

Target Churn Rate

Down from 26.5% within 12 months (R1–R4 implemented)

600

Customers Retained

400–600 additional customers per cohort

£1M+

Revenue Impact

£800K–£1.2M+ at ~£2,000 average LTV per customer

8×

Estimated ROI

Based on cost of acquisition vs cost of retention

Methodology: Python 3.10, Pandas, Seaborn, Welch's T-Test ($p < 0.05$). Dataset: 7,043 customers, 21 variables. Limitations: cross-sectional snapshot, no revenue margin data, no exit surveys, no A/B test validation.